# Unit 2 - Demand Analysis

## Introduction to Managerial Economics

- Importance of Managerial Economics
  - Assists managers in making effective decisions utilizing firm resources for profitable growth.
  - Demand greatly influences business processes such as pricing and forecasting.
  - Demand and supply are foundational concepts in economics.

## Meaning and Law of Demand

- Definition of Demand
  - Demand is the total quantity of a commodity or service purchased by consumers at a specific price and time.
  - Demand = Desire to buy + Ability to pay + Willingness to pay + at a Point of Time.
- Key Features of Demand
  - Backed by adequate purchasing power.
  - Always associated with a price and expressed in specific quantities.
  - Related to time and influenced by perceived utility.
- Definitions of Demand
  - Melvin and Boyes: Relationship between price and quantity demanded.
  - Ferguson: Quantities consumers are willing to buy at various prices during a time period.

## Types of Demand

- Individual Demand — Quantities a single consumer is willing to purchase at various prices (e.g., milk purchased by a household).
- Market Demand — Total quantities all households are willing to buy at various prices.
- Related Demand — Demand for products jointly consumed (e.g., Car and Petrol).
- Derived Demand — Demand for goods/services resulting from the demand for another product (e.g., steel demand in automobile manufacturing).
- Composite Demand — Demand for goods with multiple uses (e.g., steel for utensils, cars, etc.).

## Determinants of Demand

- Factors Influencing Demand — Price of the good, consumer income, prices of substitutes/complements, consumer tastes/preferences, and more.
- Key Insights
  - Price primarily determines demand: Price rise typically decreases demand.
  - Income affects demand: Normal goods see increased demand with income rise; inferior goods see a decline.
  - Complementary and substitute goods have an inverse relationship in terms of demand.
- Specific Determinants
  - Price: Inversely related to quantity demanded.
  - Income: Higher income generally leads to increased demand.
  - Consumer Preferences: Influenced by tastes, advertising, and habits.
  - Government Policy: Taxes and regulations affect prices and consequently, demand.

## Demand Schedule

- Individual Demand Schedule — Table showing quantities purchased at different prices over time.
- Market Demand Schedule — Aggregate of individual demand schedules reflecting total consumer demand.
- Demand Curve — Graphical representation of demand schedules showing the relationship between price and quantity demanded.

## Law of Demand

- Fundamental Principle
  - Describes the inverse relationship between price and quantity demanded (ceteris paribus).
  - Price rises lead to decreased demand; price falls lead to increased demand.
- Reasons for Downward Slope — Diminishing marginal utility, multiple uses of goods, substitution effect, income effect.
- Significant Features — Demand varies inversely with price under constant conditions (other factors remain unchanged).
- Exceptions to the Law of Demand
  - Giffen goods: Demand increases as price rises.
  - Veblen goods: Higher prices increase demand due to prestige.
  - Speculation, emergencies, and consumer ignorance.

## Elasticity of Demand

- Definition and Importance — Measures responsiveness of demand to changes in price or determinants.
- Kinds of Elasticity — Price elasticity, income elasticity, cross elasticity, promotional elasticity, substitution elasticity.
- Determinants of Price Elasticity — Nature of the good, availability of substitutes, number of uses, postponement possibility, income level, durability, price range, and consumer habits.
- Measurement of Price Elasticity — Total Expenditure Method, Point Method, Arc Method.

## Summary

- Demand is influenced by utility and purchasing power.
- Law of demand reveals an inverse relationship with exceptions.
- Elasticity of demand quantifies responses to changes in price and income.